

Accelerating the Ease of Doing Business

To achieve the aspiration of a **Viksit Bharat by 2047**, India must continue to explore opportunities to accelerate progress across multiple dimensions



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THE UNION BUDGET

2024-25 showcases the government's commitment to creating an investor-friendly environment by simplifying regulations, enhancing transparency, reducing entry barriers, and streamlining operations to drive economic growth. The Budget announcements also focussed on MSMEs, skilling & employment, energy, and infrastructure, which are strong enablers of business and are steps in the right direction. India will continue to grow as the fastest-growing large economy with stable macro conditions. However, that alone isn't sufficient to attract investors. The FDI-to-GDP ratio has declined to pre-pandemic levels, with industry FDI falling from 0.62% in FY20 to 0.39% in FY24, and services FDI from 0.87% to 0.69%.

While the Ease of Doing Business (EoDB) in India has significantly improved, to achieve our aspiration of a Viksit Bharat by 2047, we must continue to explore opportunities to accelerate progress across multiple dimensions.

Here is our seven-point recommendation for 2025 and beyond towards accelerating India's Ease of Doing Business:

Deliver a 'One India' Experience: We need to ensure investors

have consistent experience of doing business across all states. The Business Reforms Action Plan assessment, which includes 301 reform points covering 15 business regulatory areas, shows significant variability in scores. We must address the variability between 'top achievers', 'achievers', 'fast movers', and 'aspirers' to ensure holistic growth. A key enabler can be an EoDB council that brings together the centre and states to adopt best practices from each other.

Create Plug and Play ecosystems:

States must have adequate land banks and ready infrastructure to encourage sector-based ecosystems that companies can plug into. Over time, this will create highly-skilled, deep pools of expertise and anchor value chains in manufacturing and services, which will result in a competitive advantage. We need to reduce the lead time for setting up or expanding operations, starting from a zero base, especially in emerging sectors like semiconductors, green hydrogen, nuclear, and electronics.

Develop Advanced Infrastructure:

Over the past decade, we have made significant investments in infrastructure through various initiatives. The focus should now be on upgrading technology in